

Optimization Portfolio Commentary Report

Report Scope

- **Source:** commentary.txt
- **Portfolio type:** Optimized portfolio (multi-window diagnostics)
- **Windows covered:** 10Y / 5Y / 3Y

Executive Summary

- Optimized portfolio reports high historical return profile across windows (**CAGR 18.3% / 19.2% / 31.9%**).
- Volatility remains moderate-to-high (**12.1%–14.9%**) while risk concentration is strongly tilted toward Growth.
- Stress status is FAIL_STRESS across all windows, which is the primary downside constraint.

Multi-Window Core Metrics

Metric	10Y	5Y	3Y
CAGR	18.3%	19.2%	31.9%
Volatility (annual)	14.9%	14.6%	12.1%
Max Drawdown	-21.1%	-21.0%	-7.8%
Sharpe	1.060	1.058	1.991
Sortino	1.799	1.868	5.170
Beta (portfolio)	0.892	0.827	0.822
Treynor	0.177	0.187	0.294
VaR 95	-6.3%	-4.9%	-2.4%
ES 95	-8.7%	-8.0%	-4.3%
EEE 10%	125.838%	146.914%	-35.161%

Risk Structure

- Block RC (10Y) indicates concentration in **Growth 84.6%**, with low **Duration 0.3%**, **Inflation 15.0%**, **Liquidity 0.0%**.
- Asset RC concentration is led by **VOO 23.6%**, **ITA 14.6%**, **SLV 14.0%**, **SMH 12.7%**, **COPX 11.9%**.
- Weight diversification is broad, but risk diversification is narrower due to concentration in a small group of dominant contributors.

Strengths

- Strong CAGR profile across all windows.
- High recent (3Y) risk-adjusted efficiency.
- Constraints report indicates target volatility and MaxDD gates are passed.

Weaknesses

- Stress status remains **FAIL_STRESS** in all windows.
- RB corridor is not consistently met.
- Risk concentration remains elevated in Growth and a few top contributors.

Scenario Behavior

- Portfolio tends to perform strongly in constructive risk-on regimes.
- Equity-shock and synchronized risk-off conditions remain key fragility zones.

Conclusion / Key Takeaways

- The optimized portfolio delivers strong upside metrics with moderate-to-high volatility.
- The central trade-off is persistent stress vulnerability and imperfect risk-budget alignment.